only) returns. And according to this second study, asset allocation explained virtually 100 percent of the funds' returns.[3]

Now, these studies didn't look at any particular style of fund—just ones that were "actively managed." For our purposes here, these studies show that, contrary to what most stock market gurus would have you believe, a big part of investing success comes down to being in the right place at the right time. Being in the right place at the right time is much more likely to pay off than being smart enough to find just the right stock to buy.

A beta strategy is completely different from an alpha strategy. Instead of trying to beat the market, you make the market your friend. It's not your enemy. You don't try to beat it; you just want to join it. And go along with it.

150 TIMES YOUR MONEY IN 40 YEARS

Here's an idealized example of how it works: You could have multiplied your money 150 times or more just by making three simple investment decisions in the last 40 years. And two of the decisions were exactly the same! Note that these are not alpha-chasing decisions. These are beta decisions, choosing which market you want to be in and waiting until the best possible time to get in.

Let's go back and look at that period from 1970 to the present again. This time, we will look at in terms of the opportunities it presented, rather than the risks and blowups investors suffered. You remember that Richard Nixon cut the dollar's link to gold in 1971? It didn't take much imagination to see what would happen next. Inflation rates would probably increase, and they would inevitably drive up the price of gold.

So imagine that you started in the early 1970s with $10,000. There was no hurry; you had years of opportunity to buy gold at a low price. Just to keep the math simple, we'll say you paid about $50 per ounce.

By the end of the 1970s, your gold was shooting over $500 per ounce. You made 10 times your money. You were not sure what to do. You could